UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))))	**Docket No. RM26-4-000**

COMMENTS OF THE NEW YORK TRANSMISSION OWNERS

Pursuant to the October 27, 2025 Notice Inviting Comments and the Notice Granting Extension of Time,[1] the New York Transmission Owners ("NYTOs")[2] respectfully submit these comments on the October 23, 2025 Advance Notice of Proposed Rulemaking issued by the U.S. Department of Energy ("DOE") under Section 403 of the DOE Organization Act[3] and the letter submitted by DOE Secretary Chris Wright on October 23, 2025.[4] The NYTOs share DOE's goal of ensuring reliability while enabling timely, efficient, and non-discriminatory service for large loads. In considering potential action to regulate the interconnection of large loads, the NYTOs respectfully request that the Federal Energy Regulatory Commission ("FERC" or "the Commission") prioritize reliability, respect established jurisdictional boundaries, and permit regional flexibility to satisfy regional needs.[5]

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[1] *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025) and Notice Granting Extension of Time (Nov. 7, 2025).

[2] The NYTOs are: Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc., New York Power Authority, New York State Electric & Gas Corporation, Niagara Mohawk Power Corp. (d/b/a National Grid), Orange and Rockland Utilities, Inc., Long Island Power Authority, and Rochester Gas and Electric Corporation.

[3] *Interconnection of Large Loads to the Interstate Transmission System*, Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025) ("ANOPR").

[4] DOE, *Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act*, Dep't of Energy (Oct. 23, 2025), *available at:* https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf ("Section 403 Letter").

[5] Capitalized terms that are not otherwise defined in these comments shall have the meaning specified in the NYISO OATT and NYISO Services Tariff.

I. INTRODUCTION

Like other regions, New York is seeing a rapid rise in large, energy-intensive customers seeking interconnection at transmission-level voltages. Stakeholders have begun reviewing existing procedures to ensure that these potential loads can be studied in a timely manner for reliability impacts on the transmission system. The New York Independent System Operator, Inc. ("NYISO") and the NYTOs have processes for coordination of System Impact Studies for new or modified large loads connected to the New York State Power System, including under NYISO's Open Access Transmission Tariff ("OATT") and its Transmission Expansion and Interconnection ("TEI") Manual. In addition, the New York State Public Service Commission ("NYSPSC") has established procedures that its jurisdictional NYTOs follow to interconnect new load customers. At the same time, the NYTOs have recognized that the growing number of requests for large load interconnection at transmission-level voltages presents demands that differ from the historic large load additions on the distribution system for which state jurisdictional procedures are established. Key challenges with the growing number of transmission-level load interconnection requests include (i) shared system and cost impacts and interactions among multiple proposed loads requesting service in close electrical proximity; and (ii) coordination of potential transmission-level load growth with other bulk system reliability planning processes, such as generator interconnection studies and short-term reliability analysis.

Efforts are already underway within NYISO and among the NYTOs to revise and adapt these processes to better accommodate changing circumstances. How large loads can be integrated in a way that maintains reliability and allows for timely development is a central consideration in these efforts. While improvements are needed to address the new scale and pace of these requests, building on NYISO's existing Commission-approved reliability planning processes that coordinate these comprehensive mechanisms—rather than creating an entirely new structure for transmission-level load—will promote continuity and make use of experience already gained. The Commission should consider the following comments to meet DOE's articulated goals of interconnecting large loads in a timely and orderly manner. The Commission should also take into account that prolonged disputes over jurisdiction relating to areas like retail cost allocation could undermine these goals.

II. THE ANOPR RAISES IMPORTANT QUESTIONS ABOUT HOW FEDERAL AND STATE ROLES SHOULD ALIGN

A. The ANOPR Raises Threshold Questions About How Large-Load Transmission Interconnections Should Be Structured

The DOE Section 403 Letter and ANOPR raise important questions about whether existing state and regional processes can keep pace with the scale and speed of large-load growth now emerging across the nation, and whether additional federal requirements for large-load interconnection procedures could help coordinate that growth. Because the Commission has not previously established a comprehensive framework for large-load interconnections, any new requirements should be developed with care and attention to the existing statutory division of responsibilities between federal and state authorities. DOE ANOPR Principle 1 confines Commission jurisdiction to interconnections directly to transmission facilities, consistent with the seven-factor test in Order No. 888. In New York, the existing approach charts a similar path, distinguishing between transmission-level coordination that involves NYISO in study processes and retail services and local distribution interconnections under the NYSPSC's exclusive jurisdiction.

B. Existing State and Regional Processes Already Govern How Transmission-Level Load is Studied

NYISO's TEI Manual and OATT include study thresholds for transmission-level load interconnections and prescribe the System Impact Study ("SIS") sequence. In addition, Transmission Owners, in coordination with NYISO, evaluate facility-specific reliability impacts through both their established policies and the NYISO's guidelines. The resulting process is transparent and already under review for enhancement by NYISO, the NYTOs and other stakeholders to address large load interconnections.[6] The process for interconnection of load at transmission-level voltages is only one interrelated component of NYISO's Comprehensive Reliability Planning Process and, as such, is not a discrete reliability planning process. Interconnection of load at transmission-level voltages is instead a facet of planning needed to maintain system reliability that includes generation interconnection, short- and long-term transmission planning, local transmission planning, and generation deactivation. The Commission's role should be to encourage and reinforce improvements to these processes.

It is equally important to respect the NYSPSC's expertise and jurisdiction concerning retail service. To the extent that the Commission attempts to assert jurisdiction over large-load interconnections, any resulting requirements should remain aligned with established federal and state regulatory roles.

Rights to build or fund required facilities should continue to respect regional practices and States' established statutory jurisdiction over retail service. By contrast, any federal rules concerning rights to build or fund required facilities and the allocation of transmission-level upgrade costs should remain grounded in the Commission's established jurisdiction and applied

[6] *See* NYISO, Project #22, Reliability Planning & Large Load Integration in 2026 Market Project Candidates (June 30, 2025), *available at* https://www.nyiso.com/documents/20142/52227249/02a%20Market%20Project%20Descriptions.pdf/aae00090-89d4-c4cb-32cc-ca254d012c00.

in a manner that respects State-retail boundaries.[7] Despite DOE's stated intent to refrain from seeking federal authority over retail service,[8] any federal action that interferes with New York's retail regulatory framework would necessarily invite dispute over whether the Commission has stepped beyond its statutory authority.

In addition to continuing to recognize the statutory division of jurisdiction, there is a level of deference and cooperation required when work is undertaken at the boundaries of respective authorities. In Order No. 890, the Commission stressed "that state determinations with respect to retail load will not be second-guessed,"[9] noted its sensitivity to the "overlapping nature of regulatory jurisdiction over planning matters,"[10] and acknowledged that flexibility should be permitted to deal with regional variations.[11] Those same principles should guide the development of any new federal requirements for large-load transmission interconnections.

C. Federal Action Over Large-Load Customers at Transmission-Level Voltages Should Entail NERC Standards Accountability and Respect State Jurisdiction

As the Commission moves forward, a measured approach is needed—one that supports transparent system-impact reviews and reinforces transmission-level reliability obligations on any

[7] *See* 16 U.S.C. § 824(b)(1) (FERC does not have jurisdiction "over facilities used in local distribution or only for the transmission of electric energy in intrastate commerce . . . ."); *id.* § 824k(h)(1) ("No order issued under this chapter shall be conditioned upon or require the transmission of electric energy . . . directly to an ultimate consumer . . . ."). A majority of the NYTOs' retail services are subject to NYSPSC jurisdiction. One exception is that retail service by state instrumentalities, specifically NYPA and LIPA, are subject to separate New York state statutory schemes. NYPA is a state public authority and operates as a non-profit entity without a defined service territory or obligation to serve retail electricity consumers. LIPA operates as a corporate municipal instrumentality under New York law with broad autonomy to set rates and provide retail service pursuant to the Long Island Power Authority Act.

[8] ANOPR at P 15.

[9] *Preventing Undue Discrimination & Preference in Transmission Serv.*, Order No. 890, 118 FERC ¶ 61,119, at P 574, *order on reh'g*, Order No. 890-A, 121 FERC ¶ 61,297 (2007), *order on reh'g*, Order No. 890-B, 123 FERC ¶ 61,299 (2008), *order on reh'g*, Order No. 890-C, 126 FERC ¶ 61,228, *order on clarification*, Order No. 890-D, 129 FERC ¶ 61,126 (2009).

[10] *Id.* at P 575.

[11] *Id.* at P 582.

large loads that interconnect directly to the transmission system. The NYTOs recommend that the Commission continue to embrace a cooperative-federalism approach, reinforcing regional processes and state authority. This approach is integral to meeting the growing challenge of integrating large loads safely and reliably, supporting state and regional efforts while aligning with federal reliability standards. This approach also is consistent with the structure codified in the Federal Power Act ("FPA") that has guided FERC decisions to date and remains essential here.

The reliability issues identified in the ANOPR are also being reviewed through other FERC-jurisdictional reliability processes. As established by statute, the North American Electric Reliability Corporation ("NERC") is the electric reliability organization responsible for the reliability of the Bulk Electric System. NERC's Large Load Task Force ("LLTF"), with participation from the NYISO and the New York State Reliability Council ("NYSRC"), is evaluating reliability risks associated with large-load growth and considering appropriate mitigations. Any new federal requirements should complement these processes to avoid misalignment and to ensure that large loads can be integrated safely and efficiently. Large-load customers taking retail delivery service at transmission-level voltages should be subject to enforceable reliability obligations, including compliance with applicable NERC standards.

Before the Commission takes steps to potentially standardize thresholds or study paths (*e.g.*, ANOPR Principle 3), it should remain mindful of the FPA's division of authority between federal transmission jurisdiction and state oversight of siting, operations, permitting of construction, and retail service. DOE's Section 403 Letter and the ANOPR touch both spheres. Durable outcomes depend on keeping those roles clear and aligned, not blurred.

As the Commission recognized in *Tri-State*, "the law places beyond the Commission's jurisdiction, and leaves to the states alone, the regulation of retail electricity supply."[12] In *New York v. FERC*, the Supreme Court upheld FERC's transmission jurisdiction because the Commission preserved state control over bundled retail delivery.[13] And in *FERC v. EPSA*, the Court explained "no matter how direct, or dramatic" the effect, the Commission may not regulate retail sales.[14] These cases reflect a stable boundary, especially in a state like New York where many retail customers take electric service under bundled transmission and distribution rates governed under state law.

Finally, as consistent with precedent, the Commission has to date adhered to the lawful scope of its authority in reviewing Section 205 filings addressing large-load interconnection issues by rightfully declining to regulate matters reserved to the states.[15] The Commission should continue to do so. To the extent that the Commission asserts jurisdiction in a novel way that invites litigation regarding the jurisdiction over large load customers, such action would bring uncertainty that undermine the very goals DOE articulated of interconnecting large loads in a timely and orderly manner.

III. RELIABILITY AND ACCOUNTABILITY SHOULD NOT BE COMPROMISED

A. Reliability Must Remain the Foundation of Providing for Interconnection of Load to the Transmission System

[12] *Tri-State*, 193 FERC ¶ 61,070, at P 46.

[13] 535 U.S. 1, 17, 23 (2002).

[14] 577 U.S. 260, 264-65, 267 (2016).

[15] *Compare Sw. Power Pool, Inc.*, 193 FERC ¶ 61,018, at P 46 n.56 (2025) ("This proceeding does *not* address state-jurisdictional retail cost assignment issues related to how transmission customers allocate or assign those costs to retail customers, including to the large loads necessitating the upgrades.") *with Tri-State Gen. and Trans. Assoc., Inc.*, 193 FERC ¶ 61,070, at P 50 (2025) ("We note that the plain language of the FPA bars the Commission from regulating retail sales and the Supreme Court has been clear: specification of terms of sale at retail 'is a job for the States alone.' . . . . Because it appears that Tri-State's proposal before us sets the terms of retail sales, we need not elaborate in this order on other matters raised by parties regarding the extent of the Commission's jurisdiction, such as jurisdiction over the process of interconnecting loads to the Commission-jurisdictional transmission system." (footnotes and citations omitted)).

Reliability is the foundation of every planning and interconnection decision and must remain the top priority. Any federal action responding to the ANOPR should ensure that existing regional, state and local reliability rules are followed for large-load interconnections at transmission-level voltages. In New York, generation and transmission interconnection procedures under the NYISO OATT have recently been updated through stakeholder engagement—and provide for application of state, regional and local reliability rules. Load interconnections are primarily managed by Transmission Owners and have been planned in accordance with applicable reliability rules. As the load-interconnection process is refined to address the volume and scale of new large-load requests, there should be a continued incorporation of the necessary reliability standards. Further, the NERC, regional and local reliability structures and processes should remain a core precept within any federally-directed process for large load interconnection.[16]

B. Reliability Standards Are Implemented Through a Coordinated Federal-Regional-State Framework

The NYISO coordinates with the NYSRC and the Northeast Power Coordinating Council, Inc. ("NPCC") to maintain compliance with NERC's mandatory standards—particularly the PRC-, TOP-, TPL-, and IRO-series governing protection-system performance, operating limits, and coordination responsibilities. These mechanisms support the visibility, modeling, stability, and protection scheme controls that the NERC LLTF has prioritized. These standards are continuously

[16] These processes include those under which generation, transmission, and load interconnect to the transmission system and the operating standards that apply once facilities are in service. In New York, reliability responsibilities are carried out through a multi-layer structure that integrates federal, regional, state and local oversight. NERC sets mandatory reliability standards under FPA section 215; NPCC and the NYSRC translate those standards into region-specific criteria; and NYISO and the Transmission Owners implement them through the OATT and corresponding procedures.

tuned through NYSRC rules and NYISO updates.[17] Under FPA section 215, the NYSRC and the NYSPSC adopt and enforce more specific or more stringent reliability standards addressing the unique challenges of maintaining reliability in the New York Control Area so long as reliability is not degraded outside of New York.[18] NYSRC's January 29, 2025 policy input to NERC, for example, underscores the same priorities: (i) enforceable modeling/telemetry requirements before energization; (ii) Transmission Owner accountability for protection and Remedial Action Scheme ("RAS") coordination; and (iii) planning/operations studies that evaluate maximum withdrawal and injection for hybrid sites.[19]

C. The Commission Should Impose Binding Facilities Requirements Resulting from Interconnection Studies of Large Load Customers

NYISO and the NYTOs integrate NERC NPCC, and NYSRC standards into every generation, transmission, and large load interconnection study. For example, under Sections 3.5 and 4.2 of the TEI Manual, the NYISO applies the NERC TPL-001-4 and FAC-013-2 standards together with NPCC Directory #1 and #12 and the *NYSRC Reliability Rules & Compliance Manual*. The TEI Manual identifies thresholds for when load-interconnection proposals require study and outlines the SIS performed jointly by the NYISO and the Connecting Transmission Owner for load-interconnection proposals exceeding 10 MW interconnected at 115 kV or above or 80 MW interconnected to facilities below 115 kV. Proposed large-load transmission

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[17] *See, e.g.*, N.Y. Indep. Sys. Operator, *Transmission Expansion & Interconnection Manual* (Manual 23) (2025), available at: https://www.nyiso.com/documents/20142/2924447/M-23-TEI-v4.3-Final.pdf/94a26e65-fd68-98e1-535b-fc41a9536607.

[18] See 16 U.S.C Section 824o(i) for the New York Savings Clause ("Nothing in this section shall be construed to preempt any authority of any State to take action to ensure the safety, adequacy, and reliability of electric service within that State, as long as such action is not inconsistent with any reliability standard, except that the State of New York may establish rules that result in greater reliability within that State, as long as such action does not result in lesser reliability outside the State than that provided by the reliability standards").

[19] *See* N.Y. State Reliability Council, *Reliability Rules & Compliance Manual*, (v. 47, 2024), available at: https://www.nysrc.org/documents/nyrse-reliability-rules-compliance-monitoring/.

interconnect SIS scope and results are later subject to review by the NYISO's Transmission Planning Advisory Subcommittee ("TPAS") and Operating Committee ("OC").[20] Attachments F–J of the TEI Manual also include procedures for system reliability impact, voltage, and stability analyses.[21] All criteria, including but not limited to Connecting Transmission Owner specific criteria (which may include local planning assumptions), are updated as standards evolve and reflected annually through NYISO's FERC Form 715 filing, allowing for continuous improvement and transparency. This layered framework—linking NYSRC oversight, NPCC coordination, and NERC compliance—exemplifies the cooperative federalism model in practice: reliability secured through coordinated standards. As this layered framework is refined to address the volume and scale of new large-load requests, such refinements should build on this well-established approach to maintain reliability in New York.

There is room for improvement in these studies. Using its authority over NERC reliability standards, the Commission should require that the results of such studies dictate the facilities whose construction is necessary prior to interconnection of large load customers. As discussed below, enhancing the Commission's existing frameworks for evaluating the system impacts of interconnecting large loads will ensure that facilities necessary to serve these customers are in place prior to them taking service from the bulk electric system.

IV. APPLYING COOPERATIVE FEDERALISM TO LARGE-LOAD INTERCONNECTION REFORMS

A. FERC Should Build on Existing Roles

[20] *See* NYISO OATT, Study Procedures for New Load or Facility Interconnections to the NYS Power System, at § 3.9.

[21] *See* NYISO TEI Manual, Attachments F-J (Version 7.0, effective Mar. 15, 2024).

Large-load interconnections necessarily touch both federal and state responsibilities. Rather than risk uncertainty over how those responsibilities intersect, the Commission can most effectively support DOE's objectives by designing any reforms in a manner that avoids jurisdictional friction and preserves the roles Congress established. A policy framework that fits within the existing FPA structure will provide clearer guidance to all parties and allow state and regional processes to continue adapting to large-load growth without interruption:

- **Measured Federal Action.** FERC should focus on transparency and coordination within its existing authority—*e.g.*, planning, facilitating data sharing, aligning with NERC LLTF progress, to ensure consistency in large-load interconnection studies. The development of technical criteria, subject to the Commission's oversight, is properly the responsibility of NERC and the regional entities.

- **Jurisdictional Clarity.** Prescriptive federal mandates for large load interconnections—including "option-to-build" rights or uniform cost-allocation rules—could unsettle the well-established division of federal and state roles and disrupt ongoing state and regional work, including in New York. A more measured approach would recognize regional diversity and rely on existing processes where they are already functioning.

- **Cooperative Federalism in Practice.** The FERC–National Association of Regulatory Utility Commissioners ("NARUC") Federal–State Collaborative provides a constructive forum for data exchange and best-practice development without converting regional practices into one-size-fits-all federal mandates. The Commission should use this process to refine the record and to coordinate with the states on matters that fall under their jurisdiction.

Measured action within established jurisdiction will best advance DOE's aims of reliability, accountability, and speed while reinforcing cooperative federalism as the organizing principle for future policy.

B. New York's Ongoing Work Illustrates Cooperative Federalism in Practice

New York is addressing the growth of large-load customers through coordinated study, interconnection, and planning reforms led by the NYISO, the NYTOs, and the NYSPSC.

Efforts to improve and expand these processes are ongoing. Large-load integration and interconnection process enhancements are the focus of NYISO shared-governance/stakeholder priority projects selected for 2026, including initiatives to better integrate load paired with on-site generation and to modernize the current load-interconnection process to more effectively address reliability concerns and shorten study timelines. As the Commission recognized while implementing Order No. 2023, preserving regional reform trajectories can accelerate—not slow—safe interconnections.[22] The same principle applies here.

V. RESPONSES TO INDIVIDUAL ANOPR PRINCIPLES

A. ANOPR Principles 1 and 2—Threshold for Defining Service at which Large Loads Can Interconnect are Subject to ANOPR Reforms

Principles 1 and 2 define a threshold question: when is a large load transmission-voltage interconnection subject to Commission rules. The principles contemplate that any such determination must preserve existing state roles under Order No. 888's seven-factor test and propose to use the 20-MW screen as a jurisdictional boundary.

To the extent that the Commission attempts to assert jurisdiction over large-load interconnections, DOE's proposal that the reform principles set forth in the ANOPR apply to new loads greater than 20 MW is not justified and not sufficiently flexible to accommodate the nuances of the large load interconnection process. The 20 MW screen in Principle 2 should be treated as a planning **indicator**, not a jurisdictional trigger, so that regions can tailor applicability based on voltage, topology, and reliability considerations. The 20 MW threshold was established in the

[22] *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, at P 10, *order on reh'g*, 185 FERC ¶ 61,063 (2023), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024), *appeal pending*.

context of the generator interconnection process in Order No. 2003.[23] This threshold should not be applied in a rote manner to the area of large-load interconnection, particularly given the range of different system configurations across, and sometimes within, a region.

Large load customers in New York may interconnect either at the voltage level of the New York State Transmission System or the distribution system of the applicable NYTO. The decision regarding whether to interconnect a large load customer at a transmission-level or distribution-level voltage has many facets. States, regions, and each Transmission Owner must retain discretion to set triggers that reflect local system characteristics and each Transmission Owner must have discretion to determine whether each customer is interconnecting at the transmission or distribution level under FERC's seven factor test. NYISO's TEI Manual already sets study applicability based on MW and voltage criteria that achieve the same purpose while respecting state jurisdiction. FERC should therefore treat 20 MW as a screening threshold, not a jurisdictional trigger for cost allocation or service classification. That is, the Commission should allow regions to determine how to distinguish between voltage and capacity thresholds used for study applicability, and those that determine cost responsibility to avoid unintended preemption of state authorities.

To the extent that the Commission seeks to apply jurisdiction over cost responsibility and options to build to large load customers, 20 MW is not an appropriate threshold given that it would apply to a variety of customers beyond data centers, such as customer interconnections requiring transmission upgrades that are not limited to one customer. With the understanding that data centers come in many sizes, the Commission should focus any cost allocation and option to build

[23] *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 1 (2003), *order on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *order on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

rules on those large load customers likely requiring the most transmission improvements (*e.g.*, at 100 MW).[24]

B. ANOPR Principle 14—Subjecting Large Loads Directly Interconnecting at Transmission Voltage to NERC Standards and Penalties

The ANOPR's discussion of reliability obligations—particularly Principle 14—focuses on the duties of utilities serving large loads but does not address an essential feature of the existing Section 215 framework: reliability responsibility follows control of the facility that affects the Bulk Electric System. Under the NERC Statement of Compliance Registry Criteria, entities that own or operate equipment connected at Bulk Electric System ("BES") voltage, or that materially affect the reliable operation of the grid, may be required to register and comply with the applicable reliability standards.[25] In practice, this means that when a large-load customer constructs and owns or operates interconnection facilities, step-up equipment, protection systems, or other components that qualify as BES elements, the customer—not the connecting Transmission Owner—is the entity that should assume the attendant NERC obligations.

Any federal action responding to the ANOPR should preserve this assignment of responsibility. Shifting NERC accountability from a customer constructing, owning or operating BES-connected equipment to the Transmission Owner would introduce operational risk and blur enforcement lines by making Transmission Owners responsible for the actions of third parties like large load customers. A more durable approach is to allow regional processes—in New York, for example, guided by the NYISO's TEI Manual and in compliance with applicable criteria set by NERC, regional entities (*e.g.*, NPCC), and state reliability authorities—to determine when

[24] *See, e.g.*, TEI Manual, § 3.5.

[25] *See, e.g.*, NERC Rules of Procedure, Appendix 5B, Statement of Compliance Registry Criteria § III.d, (Rev. 5.2, 2022) (expressly including entities that take service directly from Bulk Electric System).

ownership or control of load-side equipment triggers registration, and to ensure that corresponding interconnection agreements reflect these obligations. Aligning any new federal requirements with the existing Section 215 framework will support transparent system-impact evaluations while avoiding unintended reallocation of reliability duties. That approach reinforces the ANOPR's objective of ensuring that growing large-load demand is integrated safely and predictably, without departing from established regulatory roles.

C. Principle 8 and 9—Cost Allocation and Option to Build

Principles 8 and 9 address the key issues of cost responsibility and authority over the construction of facilities needed for new large-load interconnections. These issues are inherently connected, as the financial responsibility for upgrades (cost allocation) must align with the authority to build and operate those upgrades (option-to-build rights). The treatment of cost allocation and option-to-build rights involves constitutional property rights, statutory directives under the FPA, and state jurisdiction over siting and permitting, in addition to Transmission Owners' obligations to ensure the safe design, construction, and operation of the Bulk Electric System. Any federal action on these matters should prioritize preserving established state roles, respecting property rights, and safeguarding the financial and operational structures that underpin system reliability.

To support system reliability, the framework for cost responsibility and authority must also ensure clear accountability and financial capacity for execution. Specifically: (i) customers that drive new costs should bear the economic weight of the facilities dedicated to their use; (ii)Transmission Owners should have the right to recover their costs plus a regulated return when they construct, own, and operate assets upon which the system relies; and (iii) federal actions should not upend established allocation frameworks or compel Transmission Owners to operate facilities without full cost-of-service recovery, including an authorized return. The NYTOs offer the following targeted feedback relating to Principle 8:

- **Cost Allocation**. A central issue raised by Principle 8 is how the ANOPR would assign responsibility for Network Upgrades. In New York, for instance, treatment of cost allocation for upgrades triggered by large loads depends on whether those upgrades are made to facilities of a Transmission Owner under state jurisdiction. State regulators may further make determinations as to whether upgrades serve only the requesting customer, which means those costs are allocated directly to that customer, or support broader system needs, and may be allocated to the Transmission Owner's entire system. Care must be taken because impacted systems not under state jurisdiction must have appropriate mechanisms for cost recovery. NARUC recently adopted Resolution EL-1 urging the Commission to preserve and affirm state retail regulatory authority, ensure that large-load interconnections do not compromise grid reliability or impose undue costs on retail customers, and respect state tools—such as large-load tariffs, flexibility requirements, and related programs.[26] That resolution reflects active state efforts: at least twenty states have approved or are considering large-load tariffs or similar measures to balance economic development with reliability and affordability. A nationwide rule that presumes all upgrade costs must be directly assigned to the interconnecting load customer would not account for these distinctions and could conflict with existing state-jurisdictional approaches to resource adequacy, retail ratemaking, and customer protection. Any federal policy should therefore recognize that regions require flexibility to allocate costs in a manner that reflects system benefits and respects the tools and oversight states already employ.

- **Financial Integrity Fosters Reliability.** Transmission Owners need to finance long-lived assets, attract investment, and recover prudently incurred costs through stable rates of return. Under longstanding Supreme Court precedent, utilities are entitled to earn a return on their property used to provide service to customers.[27] A regulated return on equity ("ROE") compensates investors for risk and sustains credit quality, allowing utilities to issue debt at reasonable cost. Erosion of cost-recovery certainty raises borrowing costs and constrains access to capital, ultimately delaying infrastructure that reliability demands. Should the Commission move forward with cost-allocation reforms addressing large load interconnections as proposed in the ANOPR, the Commission should allow for mechanisms that enable the large-load customer to repay the Transmission Owner for transmission infrastructure built to accommodate its interconnection over time with an appropriate regulated return. Cost recovery frameworks—to the extent they are administered jointly by FERC and the NYSPSC (or other applicable relevant state regulatory authority)—must provide the transparency and predictability needed to maintain system reliability. Principle 8 of

[26] NARUC, Resolution EL-1, Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding, available at: https://pubs.naruc.org/pub/2C526A94-D533-BE0A-336A-178A366C7A91.

[27] *See Bluefield Water Works Co. v. Publ. Serv. Comm'n.*, 262 U.S. 679, 690 (1923).

the ANOPR also raises questions about the role of state authority in allocating upgrade costs, and any federal approach should preserve existing state authority where retail ratemaking determines how broader system benefits are assigned and related costs are allocated. It is especially important to respect the line between federal and state ratemaking authority in a state like New York where most retail customers take electric service under bundled transmission and distribution rates.

- **Transmission Credits:** The ANOPR invites comment on whether large-load customers that fund Network Upgrades should receive transmission credits analogous to those available to generators.[28] Load customers in New York generally take bundled transmission and distribution service and charges established consistent with state law therefore do not involve charges against which a credit could properly be applied; any unrecovered upgrade cost would necessarily fall on other retail customers, creating the potential for undue cost shifts. Moreover, the introduction of mandatory federal crediting could conflict with state-jurisdictional line-extension and contribution-in-aid-of-construction rules that already govern cost assignment for retail loads. For these reasons, if the Commission considers transmission credits in any further action relating to the ANOPR, it should do so with full respect for state authority over retail cost allocation and preserve regional flexibility to determine when credits are appropriate based on actual system benefits.

Principle 9 seeks to create new option-to-build rights for large load customers based on the very different circumstances that apply to generator interconnection customers. That concept must be tied to accountability. In New York, any extension of option-to-build authority to large load customers beyond customer-specific attachment facilities could conflict with a Transmission Owner's obligation to ensure safe design, construction, and operation of the network facilities that it owns or operates. Allowing Transmission Owners to fulfill that obligation is particularly critical given the potential for substantial network facilities to be built to facilitate the growth of large load customers. Option-to-build authority is appropriate only for facilities used exclusively by the requesting customer and only where: (1) the facilities are not used or relied upon for network transmission service; (2) the customer assumes full lifecycle responsibility and NERC obligations if the asset qualifies as a BES facility; (3) the Transmission Owner retains authority over system

[28] ANOPR at P 25.

protection, interconnection criteria, switching, and operational coordination at the point of interconnection; and (4) no ongoing operation and maintenance, modeling, or retrofit obligations shift to the Transmission Owner absent Section 205 cost of service recovery. For any facility planned, modeled, or dispatched as part of the transmission network, the Transmission Owner must retain the right to fund, build, own, and operate the asset.

A federal large load customer option-to-build that extends to transmission-level network upgrades would also risk fragmenting protection and control responsibilities, shifting unfunded obligations to Transmission Owners, and creating jurisdictional conflict where state siting, safety codes, and retail obligations intersect with non-Transmission Owner ownership. Limiting any option-to-build to customer-specific radial facilities—paired with firm financial security—avoids these risks and keeps responsibility aligned with those who control and operate the facility(ies). That approach respects established state and regional practice while supporting the ANOPR's goal of efficient and accountable large-load integration.

D. Principles 3-5 and 7—Studies of Large Loads

Principles 3 through 5 and 7 address how large-load requests should be studied, whether they should be combined with generator interconnection cluster studies, how hybrid facilities should be evaluated, and whether flexible or curtailable loads merit expedited treatment. These topics go directly to the discipline, reliability, and sequencing of interconnection studies—subjects addressed more broadly in Sections III and IV of these comments. Any federal requirement should allow regional processes to tailor study paths to their own system conditions. The NYTOs provide also the following feedback on these principles:

- <u>Regional Flexibility for Study Paths (DOE ANOPR Principle 3)</u>: Large-load requests should not be forced into generator cluster studies unless regional circumstances support doing so. In New York, for example, generation interconnection follows fixed Application

Windows;[29] if large-load requests were pushed into that same cycle, a missed window could delay service by up to two years. Hybrid facilities that are net-load—or load-only—should be studied in a separate cluster process tailored to load. That separate process can run in parallel with generation interconnection and incorporate cross-checks where necessary. Each region should maintain discretion to design study paths suited to its planning cadence and system conditions.

- Hybrid Study Standards (Principles 3 and 5): Hybrid load with generation presents a challenge applying both NYISO and Transmission Owner tariffs that apply to load, behind-the-meter generation and net injections. Transmission voltage-level load customers are required to identify the maximum load that must be serviced by the grid in all circumstances. Similarly, generators are studied at their requested maximum injection. Large transmission-level loads, however, are materially different in that the grid must be planned and operated to accommodate what may be hundreds of MWs of load variability. Loads are also not under NYISO dispatch unless they participate as demand-side resources. NYISO has robust market participation models for resources located behind the meter with load, including the ability to net inject into the bulk system, but those injections are under NYISO dispatch. In principle, evaluating both maximum generation injections, if any, and maximum withdrawal would capture modeling of system impacts where load and on-site generation operate in tandem. Hybrid facilities combining on-site generation with large loads present similar reliability imperatives. NYISO's October 31, 2025 response to Commissioner Rosner details ongoing improvements to large-load forecasting and integration—expanding data intake from Transmission Owners and load-serving entities, enhancing scenario analysis for high-growth sectors such as data centers, and tightening feedback loops between planning and interconnection studies.[30] Those efforts illustrate how federal standards, applied through regional and state processes, can support clearly defined roles and effective outcomes.

- Study Timelines and Predictability: Consistent with its approach to generator interconnection in Order No. 2023, the Commission should promote formalized processes for load-interconnection studies, even clustered studies as needed, while allowing for regional variation where appropriate. Timelines can improve discipline and predictability without prescribing how regions must structure their processes, but load interconnection processes may need the flexibility to employ either individual or clustered studies when warranted. Allowing region-specific transition periods will accelerate timely integration while avoiding disruption to existing interconnection cycles and preserving state oversight. In response to ANOPR Principle 3, the Commission should allow the extension of study completion deadlines where studies of large load customers are combined with existing generator interconnection customer study processes.

[29] *See* NYISO OATT § 40.5.3.

[30] *See* N.Y. Indep. Sys. Operator, Inc., Letter to Hon. David Rosner (Oct. 31, 2025), available at: https://www.ferc.gov/media/nyiso-response-chairman-david-rosners-09192025-letter-re-large-load-forecasting-americas.

- Curtailable Loads and Expedited Study Paths: Principle 7 proposes expedited processing for "curtailable" loads. Flexibility can be valuable and inclusion of load flexibility in reliability studies can avoid reliability impacts and upgrade costs.[31] Though avoiding upgrades through flexibility could accelerate an interconnection, it does not inherently reduce the scope or speed of impact studies. Load flexibility through curtailment alone is not sufficient to eliminate reliability impacts and justify interconnection prioritization when accounting for the magnitude of curtailment and that curtailment may not be obligatory or under NYISO dispatch as a demand side resource. Forcing accelerated timelines or combining such requests with generator studies regardless of system context risks undermining the reliability coordination the ANOPR seeks to strengthen. The curtailability of a large load customer or dispatchability and curtailability of a hybrid customer bears no relation to whether their impact to the system may be studied any faster. Any fast-track pathway for flexible or curtailable loads must remain a regional determination based on technical readiness and system conditions. Regions must have flexibility in implementation so that reliability standards continue to be met and so that expedited paths for some customers do not slow the interconnection of other large loads.

- Other Reliability and Market Impacts: New York stakeholders have identified that the cessation of withdrawals and departure of large loads from the transmission system, whether sudden or planned, can have material impacts on reliability and market efficiency. Large transmission-level consumers may drop hundreds of MWs of load due to equipment failures, price responsive behaviors or simply going out of business. Though NYISO operations can mitigate wide area impacts, large reductions in load can have local impacts such as over voltage which must be managed, potentially with out-of-market actions that can reduce the efficiency of economic dispatch.

E. Principle 6—System Protection Facilities

Principle 6 proposes expanded compliance and enforcement responsibility for system-protection facilities. Any such requirement must preserve the longstanding rule that the entity responsible for system protection, RAS logic, and switching authority must be a NERC-registered entity accountable under Section 215.[32] Where facilities are relied upon for transmission reliability, protection settings and operational authority must reside with the Transmission Owner,

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[31] NYISO, 2025-2035 Comprehensive Reliability Plan, at 77-78, available at: https://www.nyiso.com/documents/20142/2248481/2025-2034-Comprehensive-Reliability-Plan.pdf/61984e49-f7a2-eeda-bdd3-176c5ae40ba9?t=1763732985009.

[32] *See* 16 U.S.C. § 824o; NERC Rules of Procedure, Appendix 5B – Statement of Compliance Registry Criteria (Rev. 5.2), *available at* https://www.nerc.com/globalassets/who-we-are/rules-of-procedure/appendix-5b-eff-20240627_signed.pdf.

NYISO, or another NERC-registered entity. This ensures single-point accountability for fault detection, mis-trip risk, outage coordination, and protection-scheme performance—priorities repeatedly underscored by the NERC LLTF, the NYSRC, and the NPCC. Transferring any portion of this responsibility to non-Transmission Owner entities, or to large retail load customers that are not NERC-registered and lack enforceable compliance obligations would undermine protection-system integrity and blur the enforcement lines upon which reliability depends.

F. Principle 13—Implementation

Principle 13 addresses how any reforms should be implemented. Sequencing matters. Technical standards should move forward in parallel with other reforms and be approved in conjunction with required tariff revisions—so that modeling requirements, study procedures, and reliability responsibilities rest on a stable foundation. Implementation timelines should therefore follow completion of the ongoing NERC LLTF and NYSRC reviews, allowing regions to adopt any new standards through established processes.

Any final rule should permit orderly transition. Regional transmission organizations/independent system operators and Transmission Owners—including non-jurisdictional public power and authority entities—need sufficient time to align existing tariffs, manuals, and planning frameworks without disrupting ongoing studies or delaying currently active projects. To respect existing agreements, the Commission must apply any changes in this proceeding prospectively. Region-specific transition periods will help accelerate the timely integration of large loads while respecting the cadence of existing interconnection cycles and the oversight states exercise over siting, construction, and retail service. A deliberate, reliability-first implementation approach will provide predictability for customers and regulators and ensure that any federal action reinforces the regional mechanisms already adapting to large-load growth.

VI. CONCLUSION

Large-load growth presents a genuine challenge and a genuine opportunity. It will test transmission systems, reliability frameworks, and state and regional planning processes across the country. In New York, the NYTOs, the NYISO, and the NYSPSC are working to adapt existing procedures to address this new class of customers while maintaining reliability and fair cost allocation. The Commission can best support DOE's objectives by reinforcing that work: (i) recognizing the division of authority Congress established; (ii) aligning any new requirements with ongoing NERC and regional reliability efforts; (iii) preserving regional flexibility to design study paths and cost-allocation frameworks; and (iv) ensuring that Transmission Owners can continue to finance and operate the facilities on which reliability depends. By recognizing the collaborative framework already in place, FERC can ensure large loads are integrated safely, in line with state and regional processes that have proven effective and efficient.

Respectfully submitted,

<u>/s/ Lyle D. Larson</u>

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Dated: November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document on those parties on the official Service List compiled by the Secretary in this proceeding.

Dated at Birmingham, Alabama, this 21st day of November 2025

/s/ Lyle Larson